

An Ethical Analysis of the Wells Fargo Scandal

Stephanie M. Ruiz

Colorado Mountain College

PHI 2005: Business Ethics

Dr. Candace Ruiz

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The Wells Fargo scandal is one of the most notorious examples of fraud in modern corporate history. From 2011 to 2016, Wells Fargo sold 3.5 million unauthorized products by cross-selling—a high-pressure marketing sales practice of products to consumers—and, most notably, opened over 1.5 million fake accounts under clients' names without their consent (Hartman et al.). The widespread misconduct driven by a toxic performance culture reveals the deep, structural issues related to leadership, accountability from all levels of stockholders, and corporate values. Understanding who is responsible and how such behavior could have been prevented can reveal the methods or criteria that could have prevented unethical behavior from occurring in the first place.

Corporate Roles: Assigning Responsibility

Accountability for the misconduct at Wells Fargo extended from entry-level workers all the way up to the board of directors. However, the degree of blame which each group was responsible for is more nuanced. Due to coercive measures from multiple levels of individuals within the company, those with limited power who participated in unethical practices show a complication to whom is guilty. The nature of power dynamics within the company meant that those with less power would be less at fault of supporting fraud compared to their superiors.

Entry-level employees were on the front lines of the issues related to making millions of unauthorized financial accounts in order to meet unrealistic sales quotas. They were often under pressure of losing their jobs or being given negative evaluations if they failed to perform to the level of profit supported by fraud. While these actions are unethical, the threats and repercussions employees faced for not meeting the company's standards was enough to harbor a culture of complacent dishonesty. Given the added incentivization to commit fraud by mid-level

managers, these individuals were already predisposed to accept this environment, as it was virtually impossible to resist it without being punished by superiors.

Mid-level managers enforced these goals, discouraged dissent, and punished whistleblowers, contributing to this workplace culture where misconduct was the norm. On top of incentivization, they were also responsible for instructing entry-level workers on how to commit fraud. However, they too were at risk of losing their jobs for not meeting the unreasonably high sales targets by executives, threatened and publicly berated if they failed to meet them. Despite their higher stature within the company and their greater control of other individuals, they bear the brunt of executing the firm's goals, which was unfortunately based on putting their best interest first rather than the customer.

Senior executives, who designed and maintained the incentive structure, bear the greatest responsibility. They ignored repeated internal warnings and prioritized financial performance over ethical obligations to customers and employees. When asked about it, they said that this culture of scandal was spread by "word-of-mouth" by the entry-level employees themselves. This not only shows a lack of accepting responsibility for controlling what goes on within their firm, but also the denial of accepting their actions as the main cause of why fraud persisted in the first place. Ethical accountability increases with authority, and leadership failed to uphold its duty to act in the best interest of stakeholders.

Preventing Unethical Behavior

The unethical practices at Wells Fargo could have been prevented through structural reforms and stronger ethical oversight. Ethics officers can redesign and constantly revisit the cultural norms, values, and mission statement of the company, creating an ethical checklist of how profits are to be made and how they are obtained. By rewarding honesty, customer satisfaction, and

transparency, Wells Fargo could have reduced pressure to manipulate performance and therefore keep customers' best interest as its key goal in pursuing growth. Leadership also needed to act decisively in response to early reports of misconduct. So, by creating new ethics programs that support open communication (such as whistleblower protections and ethical hotlines), ethics training, and a culture of revision, the company would have been able to encourage accountability and prevent the spread of misconduct.

Conclusion

The ethical failures at Wells Fargo reveal how organizational pressure, flawed incentive systems, and weak leadership can contribute to widespread misconduct. While individuals at all levels played a role, those in higher positions had the authority and responsibility to intervene and prevent unethical practices from becoming routine. The scandal shows that when companies emphasize performance without accountability, ethical standards are often compromised. Preventative measures such as revised incentive structures, stronger oversight, and a culture that encourages transparency are essential to supporting ethical decision-making. To avoid similar failures in the future, businesses must align their goals with values that prioritize fairness, responsibility, and the well-being of all stakeholders.

References

Hartman, L., Des Jardins, J., and MacDonald, C. Business ethics: Decision making for personal integrity and social responsibility, 6e. McGraw Hill